



## “WE HAVE BEEN STRATEGIC IN SELECTING FOCUSED CATEGORIES”

**S. Krishnan**, Secretary, Ministry of Electronics and Information Technology

In April 2025, the government approved the Electronics Components Manufacturing Scheme for attracting investment, increasing value addition and integrating Indian companies into global value chains.

*Business Today* caught up with S. Krishnan, Secretary, Ministry of Electronics and Information Technology, to understand how this scheme can turn around the fortunes of India's electronics sector



**What made the government shift focus from assembly to components?**

The PLI (Production-Linked Incentive scheme) for large-scale electronic manufacture and of other elements, including IT hardware and so on, made sure that the final product being assembled in India almost meets

our entire demand.

Now, having said that, because you are looking at the final assembly, a very large proportion of the components were actually imported. Our value addition is about 18% to 20%.

The component industry should follow necessarily, but at the time when the component manufacturers from China may have shifted, these things soured. So now we have to make a conscious bid to make sure that the value addition in India goes up.



**What's the strategy?**

Focus on the components you can manufacture in the country. We picked two kinds of components—where India already has a presence and electronic components which are more high-value such as display modules, camera modules.

Some of these elements represent a fairly significant proportion of the bill of materials.



**What were the lessons learned from previous schemes?**

First, they were too wide and not strategically focusing on selected areas. Second, you had a system (where) you had to sort of acknowledge and approve the application. There's a budget ceiling, so you approve only up to the budget ceiling, and once you approve, the company doesn't actually set up and manufacture, the other applicants are not there anymore because their applications were not cleared. Hence, we have been very strategic in selecting limited and very focused categories (of components), and are not expanding beyond them. And whosoever finishes the project under the scheme takes the incentive. **BT**

“If we break down the cost of a smartphone by major components, 60–70% goes to the chipset, followed by memory, then the camera, battery, and finally,

the display. These components account for most of the bill of materials. The remaining cost comes from RLC components and the PCB,” says Rahul Sharma, Co-

founder of Bhagwati Products Ltd. RLC or RLC circuit is an electronic circuit with a resistor, inductor, and capacitor.

Given the backdrop of the cost